

Google vs Nvidia: Understanding the AI Chip Competition

An Educational Workbook for Investors

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Introduction: What You'll Learn

Welcome! This workbook is designed to help you think deeply about what you learned in the video. By answering questions and completing activities, you'll better understand the competition between Google and Nvidia in the AI chip market.

What we'll explore together:

- How AI chips work and why they matter
- The risks Nvidia faces from its biggest customers
- Why Google and other companies are building their own chips
- What this might mean for the stock market
- How to think about investment research (not advice!)

🔍 Section 1: Understanding the Basics

★ Key Point: What Are AI Chips?

AI chips are special computer processors designed to handle artificial intelligence tasks. Think of them like super-powerful calculators that can process huge amounts of information very quickly. Companies like Nvidia make **GPUs (Graphics Processing Units)** that are really good at the math needed for AI.

Why they matter: Every time you use ChatGPT, ask Siri a question, or see recommended videos on YouTube, AI chips are working behind the scenes!

💡 Think About It:

Question 1: Can you name three companies that use lots of AI chips? (Hint: Think about companies that run big websites or apps you use every day)

👉 Activity: The AI in Your Life

List three ways you've used AI technology this week (like voice assistants, social media recommendations, or search engines):

1. _____
2. _____
3. _____

📁 Section 2: Nvidia's Success Story (and Its Risk)

★ Key Point: The 39% Problem

Nvidia is incredibly successful—they made over \$51 billion in just three months! But here's the tricky part: **39% of their money comes from just TWO customers.**

Imagine if you had a lemonade stand, and 39% of your sales came from just two people. What would happen if one of them stopped buying your lemonade?

💡 Think About It:

Question 2: Why might having only a few big customers be risky for a company? What could go wrong?

Question 3: If you owned a business, would you rather have 100 small customers or 2 really big customers? Why?

⇒ **Activity: Understanding Customer Concentration**

Draw a simple pie chart showing Nvidia's revenue:

- Customer A: 23%
- Customer B: 16%
- Everyone else: 61%

Use the space below to sketch your pie chart:

🏠 Section 3: Why Google Is Building Its Own Chips

★ Key Point: The TPU Advantage

Google created something called **TPUs (Tensor Processing Units)**. These are chips designed to do ONE thing really well: the specific math needed for AI.

The analogy: Nvidia's GPU is like a Swiss Army knife—it can do many things pretty well. Google's TPU is like a professional chef's knife—it's designed for one specific job, and it's better at that job.

The cost difference: TPUs can be 4 to 10 times cheaper than Nvidia's chips for certain AI tasks!

💡 Think About It:

Question 4: If you were Google and you were spending billions of dollars buying chips from Nvidia, would you want to build your own chips? Why or why not?

Question 5: What does "4 to 10 times cheaper" really mean? If something costs \$100 with Nvidia chips, how much might it cost with Google's TPU?

⇒ Activity: Pros and Cons

Imagine you're a big tech company deciding whether to build your own chips or keep buying from Nvidia. List the pros and cons:

✓ Pros of Building Your Own	✗ Cons of Building Your Own

🕒 Section 4: The Timeline—When Will This Matter?

★ Key Point: Markets Look Forward

Here's something really important about the stock market: **Stock prices change based on what people think will happen in the future, not just what's happening now.**

The timeline:

- **2025:** Nvidia is still doing great! Demand is high.
- **2026:** The turning point—Google, Amazon, and others start using their own chips more.
- **2027:** Real competition—these custom chips are everywhere.

But here's the key: The stock market will start reacting in 2025-2026, before the competition fully shows up!

 Think About It:

Question 6: Why do you think stock prices change before the actual events happen? (Hint: Think about what investors are trying to do)

Question 7: If you knew a company's biggest customers were going to buy less in 2027, when would you want to know about it—in 2027 or earlier? Why?

 Activity: Create Your Timeline

Draw a simple timeline from 2025 to 2027. Mark the important events:

Section 5: The Supply Chain Opportunity

★ Key Point: The "Picks and Shovels" Approach

During the California Gold Rush in the 1800s, many people who got rich weren't the gold miners—they were the people selling picks and shovels to the miners!

In the AI chip world: Instead of betting on whether Nvidia or Google wins, you could research companies that supply parts to BOTH of them—like the companies that make cables, manufacture chips, or build networking equipment.

Examples of supply chain companies mentioned in the video:

- Broadcom (chips)
- TSMC (chip manufacturing)
- Amphenol (cables)
- And several others!

Think About It:

Question 8: What does "picks and shovels" mean in investing? Can you think of another example from everyday life?

Question 9: Why might investing in supply chain companies be less risky than picking the winner between Nvidia and Google?

Activity: Understanding Supply Chains

Think about making a smartphone. List all the different parts and companies that might be involved:

1. Screen: _____
2. Battery: _____
3. Chips: _____
4. Camera: _____
5. Assembly: _____

This is what a supply chain looks like! AI chips have a similar supply chain.

Section 6: Key Takeaways & Reflection

What We Learned:

1. **AI chips are essential** for the technology we use every day
2. **Nvidia is very successful** but faces a risk: 39% of revenue from just 2 customers
3. **Google and others are building their own chips** that can be 4-10x cheaper
4. **The timeline matters:** 2025 strong, 2026 turning point, 2027 real competition
5. **Markets look forward:** Stock prices change before events actually happen
6. **Supply chain investing:** The "picks and shovels" approach can be less risky

Final Reflection Questions:

Question 10: What was the most surprising thing you learned from this video?

Question 11: If you were doing research on tech stocks (remember, this is educational, not advice!), what three questions would you want to answer?

Question 12: Why is it important to understand the risks of an investment, not just the potential rewards?

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